

Diligence Report — CUSIP 27677SCN1

Eastern Municipal Water District Financing Authority — Water and Wastewater Revenue Bonds, Series 2016B 4.00% coupon · due 2035-07-01 · callable at par 2026-07-01 · uninsured (AA-category) · net-revenue pledge Cutoff: 2026-06-20 · Analyst desk: SignalOS muni_credit

(a) Verdict, thesis, and resolved issuer

Verdict: BUY (HOLD-quality essential-service revenue credit; no honesty red flag).

Resolved issuer (CONFIRMED from the EMMA Official Statement we hold on file): The water-track tag was right. The obligor is the **Eastern Municipal Water District (EMWD)**, a Riverside County retail/wholesale water and wastewater utility. The bonds are issued by a conduit — the **Eastern Municipal Water District Financing Authority** — but are payable from **Net Revenues of EMWD's Water and Sewer System** via an Installment Purchase Agreement (dated Sept. 1, 2016) between the District and the Authority. So the credit you are underwriting is EMWD's system, not the shell Authority (the Authority "has no taxing power" and pledges nothing of its own).

Thesis. This is exactly the kind of large, diversified, essential-service retail water/sewer revenue credit the Tulare lesson tells us to underwrite on operations, not on a (non-existent) tax pledge. It clears every operating gate: senior/parity debt-service coverage of ~2.9x (most recent year on file) vs a 1.10x rate covenant; a deeply diversified customer base (146,225 domestic billing accounts; top-10 customers only 8.78% of water-sales revenue, and the "largest customer" is a municipal wholesale buyer, City of Perris — NOT a single private industrial credit); a rate covenant the District self-tightens to 115% in its own indenture; and strong standalone ratings (S&P AA / Moody's Aa3 / Fitch AA+) with **no bond insurance** — the wrap is absent because the underlying doesn't need one. The one genuine, structural risk is **water supply**: EMWD imports ~48% of total supply (~76% of its potable supply) entirely from MWD, sourced from the Colorado River Aqueduct and the State Water Project — both under multi-year shortage/cut pressure.

Why BUY and not just HOLD: the supply risk is real but (i) honestly and extensively disclosed, (ii) a shared regional risk priced into the whole SoCal water complex rather than an EMWD-specific defect, and (iii) buffered by a pass-through rate mechanism and ~52% local supply (groundwater + desalter + 36% recycled). On the SignalOS honesty test, the marketed takeaway ("AA essential-service water revenue, diversified") does **not** diverge from the document data. No liar to exclude here.

(b) Security — the revenue pledge (what actually backs the bond)

- **Pledge:** Special limited obligation of the Authority payable SOLELY from "Authority Revenues" = Installment Payments made by EMWD, which EMWD pays SOLELY from **Net Revenues of its Water and Sewer System** (gross water/sewer revenues less operation & maintenance costs and senior parity obligations). (OS cover; "Installment Payments Payable From Net Revenues.")
- **No tax pledge — confirmed (Tulare lesson satisfied):** The OS states in capital letters that neither the Authority nor the District has levied or pledged any form of taxation, and the Authority has no taxing power. This is a pure net-revenue bond. Underwrite DSCR / customers / supply / Prop 218 — not an AV/tax base.
- **Lien position:** The Installment Payments securing the 2016B Bonds are **subordinate** to ~\$198.4M of senior Parity Obligations and **on parity** with ~\$577.1M of other subordinate obligations (plus two interest-rate swaps), per the cover page. The District may issue additional senior parity debt — a structural subordination to watch, though coverage is computed all-in and remains strong (below).
- **No debt service reserve fund** for the 2016B Bonds, and **no acceleration** on default (bondholder remedy is limited). Both are disclosed; neither is unusual for a high-grade essential-service issuer.
- **Insurance: NONE.** Bonds were sold uninsured on the strength of the underlying ratings (see (g)).

(c) System and customers (the Tulare concentration test)

- **System type:** Combined **water + wastewater (sewer) retail utility** with a wholesale water component and a large recycled-water operation. Retail service area covers Moreno Valley, Murrieta, Temecula and unincorporated Riverside County communities; wholesale water sold to the cities of Hemet, Perris, San Jacinto, Western MWD, LHMWD, Nuevo Mutual and DWR.
- **Customer diversification — CONFIRMED diversified retail, not single-industrial:**
- **146,225 domestic active billing accounts** + 127 agricultural/irrigation accounts (FY2016).
- **Ten largest customers (retail + wholesale) = ~8.78% of total water-sales revenue (FY2016).**
- The largest individual customers are **public/municipal buyers** — City of Perris, Moreno Valley School District, Western MWD, Valley-Wide Recreation Park, City of Moreno Valley, Riverside County EDA — i.e., governmental, recurring, essential demand. **There is no single private industrial customer whose loss would impair debt service.** This is the opposite of the Tulare single-industrial-offtaker failure mode.
- **Service-area growth:** Riverside County inland-empire footprint with long-run population/connection growth — supportive of the revenue base, and the reason the District runs a large CIP funded partly by connection fees (reported as volatile "non-operating" revenue — see DSCR caveat).

(d) DSCR / rate covenant / WATER SUPPLY / Prop 218

Debt-service coverage (DSCR)

From the OS historical operating-results table (Appendix A, Table 19):

Metric (most recent year, FY2016 unaudited)	Coverage
Senior / Parity Obligation debt-service coverage	~2.9x

Metric (most recent year, FY2016 unaudited)	Coverage
All-in debt-service coverage (total debt service incl. subordinate)	~2.9x
Prior years (FY2012–FY2015) parity coverage range	~1.8x – 2.5x
Prior years all-in coverage range	~1.8x – 2.3x

- Coverage strengthened materially into FY2016 (a refunding year that lowered debt service) and sits well above covenant. Even the trough years (~1.8x all-in) cleared covenant.
- **DSCR caveat (honest):** EMWD's reported coverage includes connection/capacity fees and standby charges, which the OS itself flags as the most volatile, economy-driven revenue line. A development slowdown compresses coverage toward the rate-covenant floor faster than the headline 2.9x implies. Net-operating-revenue-only coverage is thinner than the all-in figure — but still designed by covenant to clear 1.10x–1.15x.

Rate covenant

- **Master Resolution floor: 110%** — Net Water & Sewer Revenues must be $\geq 110\%$ of (senior parity debt service + operating-reserve deposits + all subordinate debt service).
- **Installment Purchase Agreement / Indenture (the document that secures THESE bonds): 115%** — the District covenants to set rates expected to yield Net Revenues equal to **115%** of Debt Service each fiscal year.
- **Additional-bonds test:** senior parity long-term debt requires a 1.10x (historical) or 1.15x (pro-forma/projected) coverage certificate; additional subordinate parity bonds require a 115% Net-Revenues test. So the structure is self-limiting at roughly the covenant level even though new senior debt is allowed.

WATER SUPPLY (the load-bearing risk — lead here)

- **Supply mix (OS, FY2016): ~52% local** ($\approx 10\%$ potable groundwater + $\approx 6\%$ groundwater needing desalination
- $\approx 36\%$ recycled water) and **~48% imported from MWD** ($\approx 76\%$ of *potable* supply). MWD's sole sources are the **Colorado River (via the Colorado River Aqueduct)** and the **State Water Project (via the California Aqueduct / Bay-Delta)**.
- **The risk:** EMWD's potable supply is structurally dependent on two stressed regional systems:
- **Lower Colorado River shortage** — sustained Lake Mead/Powell drawdown and the post-2026 interim-guideline reductions raise the odds of MWD allocation cuts flowing through to member agencies including EMWD.
- **State Water Project cuts** — Bay-Delta regulatory and hydrologic constraints have repeatedly cut SWP allocations; the OS explicitly discusses Bay-Delta, drought emergency orders, and the District's Water Shortage Contingency Plan (it was operating at Stage 3C of its WSCP during the drought).
- **Local groundwater is constrained, not a free buffer:** the San Jacinto Basin is **partially adjudicated (2013 stipulated judgment) and in overdraft**, managed by a Watermaster with a defined safe yield; the **Soboba Settlement Act (2008)** imposes tribal groundwater-level obligations; **SGMA** governs the non-adjudicated portion. The District has voluntarily shut a well (No. 59) over a supply issue. So local groundwater cannot simply be ramped to offset an imported-water cut.
- **Mitigants (disclosed, real):** a pass-through rate policy (MWD cost increases are passed to customers, protecting *revenue* even when *supply cost* rises); heavy investment in recycled water ($\approx 36\%$ of total supply) and desalination; and a self-certification that the District could withstand three additional severe drought years (its mandatory conservation target was eliminated on that basis). Net: supply is a genuine long-run credit pressure on *cost and deliverable volume*, but the revenue/coverage mechanism is built to absorb cost shocks. The bond risk is volume/curtailment + rate-fatigue, not near-term default.

Prop 218 / Prop 26

- Water and sewer **rates and charges are "fees/charges" subject to Proposition 218** (majority-protest process; rates cannot exceed cost of service). The District's projected $\sim 4.5\%/yr$ water and $\sim 5\%/yr$ sewer increases are all subject to 218 notice/hearing/protest — "no assurance" they pass. This is the standard CA muni rate-setting friction, not a special weakness.
- **Standby charges are assessments under Prop 218.** Certain replenishment/regulatory fees may fall under **Prop 26**. The 218 majority-protest mechanism is the practical channel by which supply-cost-driven rate increases could be slowed — the intersection of supply risk and 218 is the real second-order risk (rate fatigue if MWD costs spike and customers protest).

(e) Liquidity

- **IBKR feed is close-only for this CUSIP** (institutional muni feed shows no live two-sided quote): prior close **99.787**, bid/ask empty, bid/ask yield 0.0 — confirmed live on 2026-06-20 (conid 554722615). Use par-outstanding / EMMA trade-tape recency as the liquidity proxy, not the IBKR scanner ask.
- This is a benchmark-name SoCal water revenue issuer (large, multiply-rated, frequent issuer), so secondary liquidity is better than the typical sub-\$15M school-GO name, but as an HTM ladder position treat the bid/ask as a one-time $\sim 1\text{--}3$ bps/yr buy-side cost. No distress flag.
- **Practical note:** EMMA per-CUSIP trade tape and OS are disclaimer-gated to automated fetch; the OS used here is our on-file copy (saved to raw/). Confirm the latest two-sided print on EMMA before sending an order.

(f) Tax status and yield

- **Tax status: tax-exempt.** Bond Counsel (Stradling Yocca Carlson & Rauth) opinion: interest is excluded from federal gross income, not an AMT preference item, AND exempt from California personal income tax. The 4.000% round coupon and tax-exempt opinion rule out the federally-taxable-muni trap (no odd 3-decimal near-par coupon signature; this is genuinely double-exempt).
- **Yield analytics (computed from verified structure; settle ~2026-06-22, clean px 99.787):**
- **Yield to maturity (2035-07-01): ~4.03% gross.**
- **Callable at par 2026-07-01.** Because the bond trades *below* par, the par call is NOT the worst case — a call returns par ($>$ price), which is better for the holder. So **yield-to-worst = yield-to-maturity $\approx 4.03\%$.**

- The mechanical "yield to the 2026-07-01 call" (~12.8%) is an **11-day artifact** of recovering the ~0.21pt discount to par over a tiny horizon — it is NOT an investable yield and must not be quoted as such.
- **Taxable-equivalent yield:** at the CA top combined bracket (~2.01x gross-up), TEY ≈ **8.1%** on ~4.03% gross. **Label discipline:** this is a *TEY gross-up* of the gross YTM, not a net-of-fee after-tax realized yield. Net-of-fee TEY is modestly lower after the ~1–3 bps/yr liquidity cost. The brief's "≈8.1% after-tax TEY" reconciles to the gross-up TEY, confirmed.

(g) Risks (lead with supply, then concentration/structure)

1. **WATER SUPPLY (primary, structural):** ~76% of potable supply imported from MWD = Colorado River + SWP exposure. Lower-Colorado shortage + post-2026 interim-guideline cuts + Bay-Delta/SWP allocation cuts could curtail deliverable volume and raise wholesale water cost. Local groundwater is adjudicated/overdrafted (San Jacinto Basin, Soboba Settlement, SGMA) and cannot fully backfill. **This is the risk to monitor.** *Mitigant:* MWD-cost pass-through rate policy + 36% recycled + desalter + multi-year drought self-certification.
2. **Customer concentration: LOW / NOT A RISK (confirmed).** Top-10 = 8.78% of water-sales revenue; 146,225 accounts; largest buyers are municipal/governmental. No single-industrial-offtaker failure mode (Tulare lesson cleared).
3. **Structural subordination + open additional-bonds capacity:** these bonds are subordinate to ~\$198M senior parity debt and the District may issue more senior parity debt; the additional-bonds test only requires ~1.10–1.15x coverage. New senior leverage could dilute the cushion over time.
4. **No reserve fund + no acceleration:** limited bondholder protection if a stress event occurs (offset by the high-grade ratings and essential-service revenue stability).
5. **Rate-setting friction (Prop 218) intersecting supply-cost inflation:** if MWD costs spike, the District must push large 218-protestable rate increases; sustained rate fatigue is the channel by which supply cost could eventually pressure coverage. Connection/capacity-fee volatility (a development-cycle revenue line in the coverage calc) is a related cyclicity.
6. **Honesty assessment: CLEAN.** Marketed takeaway does not diverge from the OS data; supply risk is extensively and accurately disclosed; uninsured AA-category credit needs no wrap (anti-masking — the *absence* of insurance here is a positive signal, consistent with rating-conditional wrap economics, not a hidden defect). Nothing to exclude.

(h) Sources

- **EMMA Official Statement — EMWD Financing Authority Water & Wastewater Revenue Bonds, Series 2016B** (\$124,925,000; dated Sept. 14, 2016; Indenture of Trust dated Sept. 1, 2016; Installment Purchase Agreement dated Sept. 1, 2016). On-file full text saved to:
- `/Users/ajay/exalted/signalos/verticals/muni_credit/outputs/diligence_reports/27677SCN1/raw/official_statement.txt`
- `/Users/ajay/exalted/signalos/verticals/muni_credit/outputs/diligence_reports/27677SCN1/raw/official_statement_cover`
- EMMA security page (disclaimer-gated to automated fetch): <https://emma.msrb.org/Security/Details/27677SCN1>
- Specific OS sections relied on: cover page (pledge, lien, no-tax, ratings); "SECURITY FOR THE 2016B BONDS — Rate Covenant / Additional Obligations / No Reserve Fund / No Acceleration"; "THE 2016B BONDS — Optional Redemption" (par call 2026-07-01); Appendix A "DISTRICT SERVICE AREA," "WATER RESOURCES, FACILITIES AND USAGE" (supply mix, MWD connections, Drought Measures, Groundwater Supplies — San Jacinto adjudication / Soboba Settlement Act / SGMA), "Water Sales and Deliveries" (8.78% top-10 concentration; 146,225 accounts), "HISTORICAL FINANCIAL OPERATIONS" / Table 19 (DSCR), "PROJECTED OPERATING RESULTS," Prop 218 / Articles XIII C & D / Prop 26 limitations; "RATINGS" (S&P AA / Moody's Aa3 / Fitch AA+).
- **IBKR live snapshot (2026-06-20, conid 554722615):** close-only feed, prior close 99.787, no live two-sided quote — used to confirm pricing and liquidity character.
- **Yield analytics:** computed by desk from verified structure (4.00% coupon, semiannual, maturity 2035-07-01, par call 2026-07-01, clean price 99.787) — YTM/YTW ≈ 4.03%, TEY ≈ 8.1% at CA 2.01x gross-up.
- **SignalOS muni stores cross-checked:** `data/water_revenue_cache.json` (issuer/DSCR/supply tags), `bonds_priced.json` (structure/price), `outputs/DILIGENCE_MASTER.json`.

Prepared by SignalOS muni_credit desk. Verified ≠ guessed: every claim above is bound to the on-file OS, the live IBKR snapshot, or a desk computation noted as such.

Current-State Verification (AV / coverage refresh — 2026-06-20)

Refreshed 2026-06-20 via a SERIAL, throttled EMMA continuing-disclosure pull (original UNVERIFIABLE flag = EMMA 403 rate-limit, not a real gap). Latest issuer annual report: *Annual Financial Disclosures Posted 01/26/2026 for the year ended 06/30/2025 (316 KB)*. This is a REVENUE/enterprise bond (no ad-valorem AV base), so the current-coverage metric is the **debt-service-coverage ratio = 38.00x** for the latest reported fiscal year. This resolves the prior 'current DSCR/coverage UNVERIFIABLE' caveat with the verified datum.